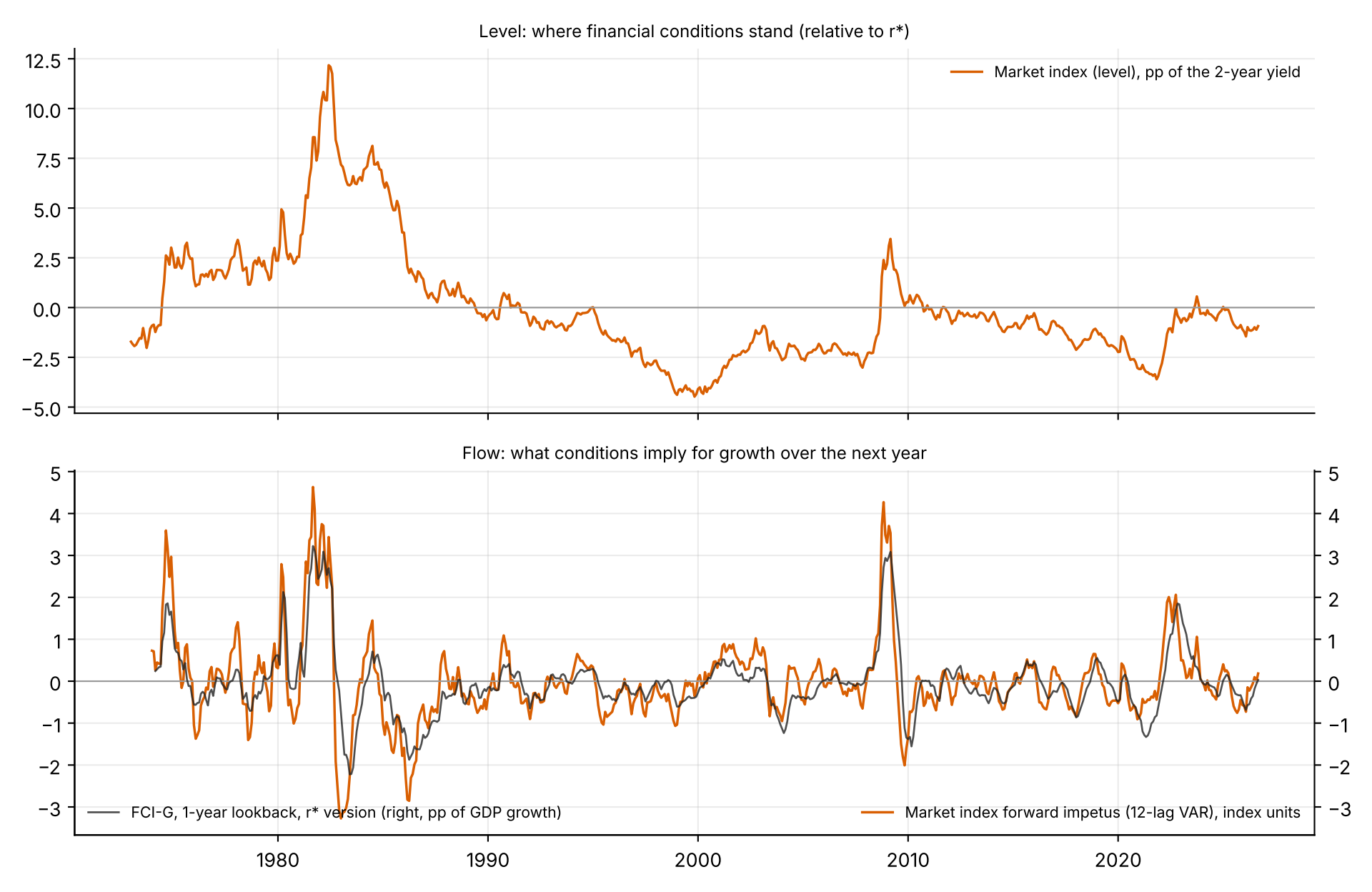
Level: where financial conditions stand (relative to r*)
Market index (level), pp of the 2-year yield
12.5
10.0
7.5
5.0
2.5
0.0
−2.5
−5.0
Flow: what conditions imply for growth over the next year
FCI-G, 1-year lookback, r* version (right, pp of GDP growth)
Market index forward impetus (12-lag VAR), index units
5
4
3
2
1
0
−1
−2
−3
1980
1990
2000
2010
2020